

program), and has continued to do so ever since. For the three years he lived with his parents after college (he moved out at age 25), Peter also deposited an additional \$2,000 into an IRA each year. Although it's true that Peter profited from the fact that stock and bond funds did very well in the 1990s, his real achievement has been his commitment to contributing to his 401(k) and IRA every year. If he continues to save the maximum in his 401(k) plan, gets a 3% cost-of-living salary increase each year, and earns 8% a year on his investments, he will have close to \$600,000 by the time he turns 50. Amazing.

- **Can I afford to make the full \$5,000 contribution if I go with a Roth?** If not, you may be better off with a traditional IRA. Just be realistic about how much you can manage to tighten your belt. With a Roth IRA, not only are you out \$5,000 but you have also paid tax on that money. Here's what I mean: With a traditional IRA, a \$5,000 contribution would result in a \$1,250 tax deduction if you're in the 25% tax bracket. In real terms, this means that the full \$5,000 contribution would end up costing you just \$3,750. But Roth IRAs are not deductible, which means your \$5,000 contribution to a Roth would cost you...\$5,000. If you can afford to put the full \$5,000 in a Roth IRA, you'll be doing your future self a big favor. But if you can only afford to put \$3,750 in your account either way, the Roth IRA won't provide you with much financial advantage in the long run. In that case, your decision will be based on other considerations, like the ones in the next two points.
- **Will I be in a substantially lower or higher tax bracket when I retire?** When you're in your twenties, you assume you will be richer when you're old, but the fact is many people fall into a lower tax bracket when they retire because they stop receiving regular income from their jobs. (I know this seems a million and a half miles away, but it's important to get the concept.) Of course, it's hard to predict today what your tax situation will look like thirty or forty years from